Nebraska State Financial Profile

Nebraska maintains a progressive individual income tax system alongside localized sales tax options. The state is known for historically high property tax rates, which are mitigated by significant statutory property tax credit mechanisms.

Financial Questions & Answers

Q1: What are Nebraska's individual income tax brackets?

A: Nebraska implements a progressive individual income tax system spanning four brackets, with a top marginal rate of 5.59%, which is legislated to step down gradually over coming fiscal years.

Q2: What is the general sales tax rate in Nebraska?

A: The baseline state sales and use tax rate is 5.50%. Local municipalities are permitted to add local options up to an additional 1.50%, leading to a maximum combined rate of 7.00%.

Q3: How does Nebraska structure its property tax assessment?

A: Property tax is determined at the local level by county assessors who evaluate real estate at 100% of actual market value. Agricultural land is uniquely assessed at 75% of its actual value.

Q4: Are retirement benefits and pensions taxed in Nebraska?

A: Nebraska has phased out the state income tax on qualifying military retirement benefits and general Social Security income, significantly lowering the tax burden for retirees.

Q5: Does Nebraska levy an inheritance tax?

A: Yes. Nebraska is one of the few remaining states that levies a county-level inheritance tax, with rates ranging from 1% to 15% depending on the beneficiary's relationship to the deceased.

State Cost of Living (COL) Index Appendix

Metric Class	Index Value (Base 100.0)
Composite Cost of Living	91.2
Housing Cost Index	81.6
Income Tax Burden Structure	2.46% - 5.59% Progressive